



Finance Planning
Mortgage & Protection



May 2025

Continual Professional Development

Welcome to the Finance Planning monthly round-up newsletter for May 2025,

Another month with some excellent figures recorded across both mortgages & protection. This edition includes the usual sections rounding up the previous month from a compliance, protection and mortgage perspective as well as the all-important performance figures.

Thank you.

David



Compliance News 12/2025 (Entering commission on your Acre sales)

A reminder of the importance of entering a commission figure on Acre for each of your sales – whether they be mortgage, protection or GI. This will generally pre-populate when you add a product to Acre, but where you add a manual mortgage, or sometimes with multiple protection policies, it might not happen automatically. Please enter the commission figures at the point of recommending the product, rather than waiting for completion.

Compliance News 13/2025 (Equity Release Council mandatory testing) ER Advisers only

All Equity Release Advisers are required to complete an annual knowledge test through the Equity Release Council. If you've not yet done it, please do so asap – thank you. (This is for Equity Release Advisers only).

Acre flag clearing

Advisers can now clear their own flags on Acre – for the likes of PEP, Nationality and Gifted Deposit, meaning you don't now need to wait the compliance team to do this for you. Please still allow the compliance team to clear your more complex flags around Debt Consolidation, Interest Only and Into Retirement. For guidance and screen shots please refer to the "flag clearing guide" emailed by Pete on 14th May 2025.

Also, regarding the clearing of Second Income flags, where the client does have two types of income, please allow the compliance team to clear those flags, but where it is just a case of BTL income being the second income, then you may clear this flag yourself – but always add an explanation when clearing the flag.

FCA Mortgage Rule review

The FCA's review into Mortgage Rules seems at face value to be somewhat contradictory of their Consumer Duty rules and avoiding foreseeable harm. This is because they are talking of making it easier, cheaper and faster for borrowers to talk with their lender to:

- Discuss their mortgage needs
- Reduce their mortgage term

- Re-mortgage to a new lender

However, this is opening up a can of worms around an increase in execution only business at a time when (currently) 97% of sales are advised (by brokers or bank staff), thus providing clients with that valuable protection. Whilst AMI will be leading the way with industry opposition to these proposals, in the meantime we can be ensuring we are speaking with our clients on a frequent basis – reminding all clients that we are there for their ever-changing mortgage needs.

Protection cases and the need for ID

When a mortgage case is already on Acre, then there is no need to add the client's ID again if the e-IDV has successfully passed, but please do upload the current documents if the e-IDV doesn't pass, and thus the e-IDV needs to be reviewed and over-ridden.

CIFAS Fraudscape and Fraud insights

CIFAS is a fraud prevention service, and worryingly, a recent CIFAS survey has found that nearly half of the UK population (48%) are happy to commit fraud of some type. This can range from anything like tampering with supermarket barcodes to reduce the price you pay, or using a firestick to rip off Sky Sports, to not declaring a BTL for tax purposes, or misrepresenting your income and commitments to a lender. It's all fraud! And in respect of mortgage fraud, it is reported that 1 in 6 adults (16%) have either misled a lender, or they know someone who has! Much of this is being blamed on the cost of living crisis which has caused people to act in a way they wouldn't normally.

In 2024, there were over 421,000 cases filed on the National Fraud Database (up 13%), of which 249,417 were identity fraud cases (up 5%), and a further 21,700 were false application fraud cases (up 10%). We therefore urge you to remain vigilant when speaking with clients and analysing their paperwork. And always be checking for plausibility of your client's circumstances.

Two fraudulent example types which have recently been flagged as commonplace are (i) tax evasion on BTLs and (ii) impersonation fraud where perhaps one of the two applicants isn't aware of a further advance or 2nd charge being arranged by the other applicant. Both of these fraud types can be prevented by Advisers through (i) insisting on evidence of land and property tax being paid, and (ii) ensuring you always speak with both applicants.

Finally, it is estimated that there are now between 1 million and 8 million synthetic identities which have been created. This is a whole new headache in the fight against fraud, meaning we now need to be sure that the applicant is real too!

Communicating with Vulnerable Persons

So, whether your client is vulnerable, potentially vulnerable, or maybe in potentially vulnerable circumstances, one of the key drivers to help you deliver the same good outcomes is to ensure you are communicating with them in a manner in which they are comfortable or prefer. So please do be asking this of the client, and not just assuming they will be happy with verbal and written equally.

Also, two further points. Firstly, there is no need to ask or tell a client if they are vulnerable as your questioning and understanding of their circumstances should help you to determine this. And secondly, you may only tell a third party about a client's vulnerability, and their needs, with the client's permission, and this includes lenders, insurers and solicitor, etc.

File Checking reminder

Your cases should tell a story of the client's circumstances, and how your recommended solution meets their needs and their objectives. So, every record should be clear about what the client wishes to achieve, and their priorities. And for your more complex cases, you should definitely be adding more notes to support your advice. This will include your discussions around your challenges and alternatives discussed. For instance, do they really need to consolidate debt, or could it be consolidated on a shorter term than the mortgage, or how will they be able to work to age 70 or 75, or why do they not qualify for cheaper mortgage deals. This level of detail is required to help support your advice.

CI Expert

A reminder that you should always obtain and discuss a CI Expert report with a client where you are possibly looking at replacing an existing CIC policy with a new CIC policy. This is to ensure the client understands any illness definitions they might be forfeiting by cancelling their existing cover.

PTs v Remortgages

It is good news that the industry is seeing the number of PTs (instead of remortgages) fall from their highs of 44% to the current level of 29%. This is not far away from the historical norm of 22%. This means that Advisers should be focussing on obtaining three months income evidence for the employed, or two years for the self-employed, in your early discussions with clients.



Our good news story this month comes courtesy of Julie Parks...

"My client had a DTA to cover his mortgage which was taken out about 7 years ago. He had developed a cancer in his eye which was rare and treated at the Royal Marsden. He was diagnosed in April 2023 and had a year of treatment which was announced successful. At a check-up in October 2024 there was a slight concern that things were not right but nothing showed up in any tests. Between Christmas and New Year he suffered severe headaches and after a consultation at the Marsden he was taken to a local Hospice and died on January 24th 2025. He was 61.

I contacted Legal & General to start the claims process as his widow was very shocked at the speed of which he had died. At the initial call I was asked about vulnerability to which I replied that other than grieving there were mortgage arrears built up over the past year and finances were really tight. He was the main bread winner (sadly they had cancelled the FIB I had done for them a few years before to save £30 per month). Legal & General took this on board and said they would try to deal with the claim as quickly as possible. In the meantime, I had to get the widow to sign forms as you would expect, but they also suggested a letter of authority so that I could deal completely with the claim rather than just the initial notification. The widow was happy with this and we duly emailed over all the forms. I was then contacted by the claims

handler who explained that they needed to know the timeline of events. In view of the financial hardship, they were trying to avoid going to the Doctor for confirmation because they thought that would delay a decision. I appreciate that the illness probably speaks for itself but none the less I was shocked that the claim handler was happy for me to ask the widow for the details and then phone them in! Even more surprisingly on the call when I relayed this information to Legal & General the claim handler said that she could approve the claim there and then and the money would be with the client within 8 working days. I felt this was exceptional service in this consumer duty world to ensure a good customer outcome!"

TOP Protection Updates:

Legal & General – Produced their claims stats for 2024 this month. They're all relatively good as you can imagine and the highlight (although very sad) is that they paid out on 97% of their Children's Critical Illness claims. You can follow this link to see the report yourself... <https://www.legalandgeneral.com/adviser/protection/adviser-toolkit/our-claims/>

Legal & General – Speaking of Children's CIC... L&G also made several improvements to all their CIC policies this month as well as dropping fracture cover. New cancer definitions, covering kids under legal guardianship and severe mental illness are just a few of the changes worth mentioning but you can see the full changes here... <https://www.legalandgeneral.com/adviser/protection/campaigns/critical-illness-changes/>



In this mortgage update we are minimising the number of product or specific criteria changes as you can review these from the vast array of emails you receive from lenders each day.

Metro Bank

We have a new Telephone BDM, Anthony Brooks. He can be reached on Anthony.brooks@metrobank.plc.uk or 07422 075062.

Accord

Something to be aware of, a residential PT can be cancelled and reapplied for if cheaper products are issued as you would expect BUT that is not the case with a BTL PT, once accepted they cannot be switched.

Housing market update

Here are a few points from the latest housing market update from L&G.

- **House Price Index** Slowdown in House Price Inflation: House price inflation slowed to 1.6%. Sales Activity: Sales agreed increased by over 6%, up from 0.2% last year but down by 1.9% from December 2024. Buyer Demand and Supply: Buyer demand increased by 1% on 2024, and supply grew by 12%, suppressing house price inflation.

- **Mortgage Rates & Lending Conditions** Declining Mortgage Rates: Average two-year fixed mortgage rate at 4.68%, down by 0.73% year-on-year. The five-year rate decreased to 4.62%, down by 0.39%. Bank of England Base Rate: Cut to 4.25%, the lowest in two years, with further reductions anticipated.
- **Regional & Sector Trends** Stamp Duty Impact: Varies regionally, with the North-South divide slowing. Price Changes rising by 2.2% - 3% in the West Midlands, Northern regions, Wales, and Scotland; 6% in Northern Ireland. London Market: New price record despite only 8% of homes being exempt from stamp duty for first-time buyers. London: Slowing activity, stable values, and a flat market. Southwest: Steady market, price-sensitive, with increased bids for properties. East and Northeast: Busy market with some price increases and increased BTL investor activity. Northwest: Busy market with good supply and interest, steady new build activity. Scotland: Increasing activity with demand outstripping supply. Midlands: Slow but steady market, with well-located properties selling well. Wales: Steady prices, busy agents, and strong rental demand.
- **Market Outlook** Short-Term Slowdown: Immediate market slowdown post-stamp duty changes. Future Growth: Anticipated interest rate cuts and a US/UK trade deal may rejuvenate the market in the latter half of 2025. Sales Predictions: House price growth expected to slow to 1% - 1.5%, with a 5% increase in sales if sellers remain realistic on pricing.
- **Rental Market** Robust Demand: Average UK rent (excluding London) at £1,107, a 1.0% monthly increase. Regional Variations: Strongest rental increases in Northern Ireland and the West Midlands.

Proc Fee Payment Route

Please do NOT select PMS when applying for a mortgage. Please always select L&G Mortgage Cub, as we always have. (For your information, PMS are our protection service provider – Zenith PMS.)



Mortgages – Adviser League Table for May 2025

Congratulations to **Claire Lipscomb** for 30 mortgage applications, topping our list with her best ever month.

<u>Adviser</u>	<u>Cases</u>
Claire Lipscomb	30
Pratima Gurung	23
Paul Gent	23
Phil Smith	22
Andy Poustie	20
Jim Maye	19
Joe Maskell	19

Dan Fletcher	18
Ellis Featherbe	18
Carl Thorne	17
Emily Chattaway	17
Jack Humphries	17
Jack Savory	16
Cathy Rafferty	15
Joanne Pope	15
Bryce Protheroe	13
Rob Chart	13
Colin Mackay	12
Pete Stickley	12
Karen Mills	12
Samita Rai	12
Dave Jacob	12
Dipes Rai	11
Matt Stephens	11
Paul Ripley	11
Richard Lucy	11
Dan Grant	10
Gary Bray	10
Dan Walsh	10

Protection (protection and GI combined) – Adviser League Table for May 2025

A very impressive month for Paul Gent with 42 submitted protection applications.

<u>Adviser</u>	<u>Cases</u>
Paul Gent	42
Clare Mann	29
Andy Poustie	16
Jane Hutchinson	10

Congratulations to everyone who has featured on last month's league tables

Should anyone feel their applications are not being calculated properly, please speak to your Sales Manager as it might mean those cases you have submitted to a lender or insurer have not been recorded as such on Acre yet and we can show you how to fix that.

millionaireclub

Well done to the following advisers who have all submitted million-pound cases this year. Lots of new entries this month so congratulations to all. Cases added in the last month are shown in [blue](#).

Mortgage cases

Paul Goodey	£3,881,250
Romi Pal	£3,207,525
Chris Williams	£2,377,875
Paul Goodey	£2,306,000
Oliver Cunningham	£1,510,450
Victoria Worthington	£1,410,000
Ellis Featherbe	£1,400,000
Romi Pal	£1,385,000
Phoebe Wight	£1,380,000
Ellis Featherbe	£1,370,000
Carrie Millin	£1,335,897
Victoria Wescott	£1,300,074
Paul Goodey	£1,300,000
Trevor Farley	£1,237,393
Rob Chart	£1,234,503
Ellis Featherbe	£1,207,000
Paul Goodey	£1,207,000
Jonathon Peachey	£1,200,000
Marion Hunnisett	£1,125,000
Cathy Rafferty	£1,150,000
Phoebe Wight	£1,105,000
Paul Goodey	£1,072,000
Claire Lipscomb	£1,067,698
Cathy Rafferty	£1,020,000
Paul Goodey	£1,015,521
Jim Maye	£1,014,681
Joanne Pope	£1,005,699

Protection cases

Paul Gent	Exec IPB £1,240,320
Paul Gent	Exec IPB £1,164,801
Paul Gent	IPB £1,128,204
Richard Lucy	Life £1,000,000

As with the mortgage and protection figures if you feel an application you have made should be referenced here, please speak to your sales manager to confirm if it is showing on Acre correctly.



goodnews

FPG Anniversaries

So far in 2025 we have seen some very significant milestones reached in terms of service within the Finance Planning Group especially as this is the 25th year of The Finance Planning Group. A big thank you to everyone listed below for your hard work and dedication for however long you've been with us.

- Tony Hornby – 22 years
- Martin Ecroyd - 9 years
- Sophie Parks – 8 years
- Tracey Copeland – 4 years
- Piers Aspinall – 4 years

I have been compiling these dates from several sources and have tried to be as accurate as possible but apologies in advance if anybody has been missed from this list that should have been recognised for a work anniversary please let me know so I can rectify it.

Upcoming Birthdays

Happy Birthday to everybody celebrating in June.

- Maria Crawley
- Oli Beatty
- Paul Ripley
- Peter Flanagan
- Samita Rai
- Scott Sutton
- Unika Rai



miscellaneous

FPG Zoom Meetings

A reminder that our weekly zoom meetings hosted by Dan and Mark continue each Monday at 4pm. It's a great way to keep your knowledge updated and to gain the required CPD!